

10. If payment is agreed to be effected in a currency other than that of Seller's country and if the official rate of exchange at the time of payment differs by more than 3% from the rate effective at the date of the contract, then Buyer and/or Seller shall be entitled to withdraw from the contract to the extent of goods not delivered as per para II (2&3). If, Seller should suffer any loss in exchange owing to late payment; Buyer shall compensate Seller for such loss.

IV. RESERVATION OF TITLES

1. If any payment that has become due and is not made by Buyer within a reasonable period of grace, or if Seller has any reasonable doubts about Buyer's solvency, then
 - Buyer shall not be entitled to pledge, hypothecate, or transfer goods, purchased from seller, to third parties including Bank and financial institutions.
 - The title to the goods, in favor of buyer, shall also be extended to the new products made by processing or after treatment at buyer's place using the seller's material
 - Sellers shall have right to dispose, without any demurrage charges and directly from seller premises, goods
 - purchased by buyer from seller and
 - new products produced by buyer, within its premises, by way of processing or after treatment using the seller's material
2. Taken back of goods, as mentioned in this clause, would not be considered as cancellation of existing contract.
3. Buyer shall properly insure the goods, lying at seller premises and to which Seller has or reserves title under this clause,
 - purchased by buyer from seller and
 - new products produced by buyer, within its premises, by way of processing or after treatment using the seller's material
4. If desired by Seller, Buyer shall provide evidence that such insurance has been affected by Buyer and it is further agreed that any and all claims under such insurance are assigned to Seller in advance.
5. At Seller's request Buyer shall cooperate with Seller in respect of all measures to secure Seller's right.

V. BISFA and INCOTERMS

Fulfillment of the contract as well as any tests made shall be governed by the rules of the "International Bureau for the Standardization of Man-Made Fibers" (BISFA) The provisions of "INCOTERMS" and supplements of the International Chamber of Commerce shall apply to all trade terms used by Seller according to commercial practice, such as 'fob' or 'cif'.